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US CONSTRUCTION LAW VS. JEAN PIERRE CHRISTOPHER MURRAY

TENTATIVE RULING

On August 6, 2026, the Court ordered the parties to brief several issues dealing with the next stages of this litigation. Having reviewed the parties' briefs, the Court issues the following rulings.

Judgment on the Murrays'

Affirmative Legal Malpractice Claims to be Entered in Favor of Sean Reynolds but not U.S. Construction Law

The parties agree that the Court can and should enter final judgment in favor of Defendant and Cross-defendant Sean Reynolds on the legal malpractice claims asserted against him by Plaintiffs and Cross-Complainants Jean Pierre Christopher Murray and Kathy Murray. The Court directs counsel for Reynolds to draft and circulate a proposed Judgment for the Court's signature and file it with the Court within 10 days. The Court will discuss with counsel the substance and timing of any post-judgment motions.

The Court will not enter judgment in favor of Plaintiff U.S. Construction Law (USCL) because its claims for attorneys' fees against the Murray Defendants remain to be resolved. Because these fee questions remain, the Court believes it is premature to entertain any motion by USCL for recovery of attorneys' fees pursuant to the retainer agreement, based on its defeat of the Murrays' affirmative legal malpractice claims.

Impact of First Phase

Rulings on Second Phase Jury Trial

On June 26 2026, the Court issued its Final Statement of Decision ruling that the Murrays' unclean hands barred them from asserting any affirmative legal malpractice claims against Reynolds and/or U.S. Construction Law. (Final Statement of Decision, filed 06/26/26.) This ruling was grounded on several underlying findings. First, the Court found that the Murrays entered into an unlawful agreement with the Pinchasis to assign them an interest in the legal malpractice claims against Reynolds and USCL, grant the Pinchasis the right to approve or disapprove any settlement, and provide the Pinchasis with a stipulated Judgment in their favor for \$900,000 if the Murrays should fail to prosecute the malpractice action or settle it without the Pinchasis' consent. (Id., pp. 3-5.) The Court concluded that the assignment interfered with reasonable settlement discussions between the parties before the Court, encouraged continued litigation, and burdened the legal system and, thus, was unlawful, contrary to public policy and unenforceable. (Id., pp. 4-7.) Second, the Court found the Murrays' election to pursue a theory of malpractice under *Mireskandari v. Edwards Wildman Palmer LLP* (2022) 77 Cal.App.4th 247, "combined with their unlawful assignment to the Pinchasis is extremely unfair to Lawyers and causes serious damage to the truth-seeking process overseen by the Court." (Id., p. 8.) The inequity arises because the *Mireskandari* model is grounded on the Pinchasis' wholly self-interested testimony, and the impaired path to the truth emerges because a jury considering an assignment to the Pinchasis "cannot fairly determine whether the Murrays would have been better off in the absence of any litigation" – the bottom line on any *Mireskandari*-type malpractice action. (Id., pp. 9-11.) Third, the Court found the Murrays used the assignment to pursue unjustified inflated damages of \$900,000 based not on actual evidence of loss but on the stipulated judgment negotiated with the Pinchasis. (Id., pp. 12-13.)

"Issues adjudicated in earlier phases of a bifurcated trial are binding in later phases of that trial and need not be relitigated, the parties disagree about the impact of the Court's June 26, 2026 ruling on the upcoming jury trial. (*Arntz Contracting Co. v. St. Paul Fire & Marine Ins. Co.* (1996) 47 Cal. App. 4th 464, 487.) Indeed, "[a]ll of [this Court's] equitable findings [are] binding

on the [parties'] legal claims, regardless of whether they were necessary for the judgment." (Orange County Water Dist. v. Alcoa Glob. Fasteners, Inc. (2017) 12 Cal. App. 5th 252, 359.) While the parties apparently recognize these standards, they disagree on their application. USCL argues that the first phase rulings foreclose the Murrays' ability to raise any malpractice defense to the fee claims brought by the law firm, while the Murrays disavow any impact at all because the first phase trial did not address whether the law firm acted within the standard of care. The answer is more nuanced than the "all or nothing" approaches suggested by the parties.

The Court concludes that the Murrays may raise their legal malpractice defense in response to USCL's fee collection claims, but the first-phase findings and the Court's prior rulings restrict the scope and nature of the defense. First, because the Court's unclean hands determination rests on the Murrays' invocation of the Mireskandari theory of malpractice with its reliance on the Pinchasis' testimony that they would never have presented their cross-claims if not sued first by the Murrays, the Court's first-phase rulings bar the Murrays from asserting any Mireskandari theory as a defense against the fee claims. This is consistent with the Court's ruling on May 5, 2025, that the Murrays' reliance on post-filing conduct for their defense requires them to pursue a case-within-a case model in defending against USCL's fee claims. Second, the Pinchasi assignment has been found to be unlawful and unenforceable, so it will be stricken from the settlement agreement and not presented to the jury. This is also consistent with the first phase ruling that the Murrays will take nothing on their affirmative legal malpractice claims so the assignment is a nullity. Third, the Court's prior pretrial rulings will be applied to the second-phase jury trial. As a result, the Murrays will have to prove they would have recovered more in the absence of USCL's malpractice than the \$350,000 paid by the Pinchasis' insurance company, minus the out-of-pocket fees and costs they paid. The settlement amount paid to the Pinchasis and attorneys' fees covered by the Murrays' insurance company will not be considered as offsets to the Murrays' recovery because these sums were not losses sustained by the Murrays. Further, as the Court held on May 5, 2025, the Murrays' malpractice allegations do not raise an affirmative defense of offset, setoff, or forfeiture in response to USCL's breach of contract, book account and indebitatus assumpsit claims but rather are relevant to the Murrays' contention that USCL failed to perform under the contract and, thus, is not entitled to recover fees. (5/5/25 Minute Order, pp. 4-6.) Reliance on

USCL's alleged malpractice is not available as a defense for USCL's for account stated or quantum meruit. (Id., p. 6.)

Structure and Timing of the Second-Phase Jury Trial

The Court views the second-phase jury trial as largely distinct from the Mireskandari claims the Murrays sought to assert in their affirmative legal malpractice claims and, thus, would not be inclined to stay the jury trial pending any appeal of the Judgment to be entered in favor of Reynolds. As noted above, the Murrays' allegations of malpractice go to the negation of USCL's contention that it performed compensable work under the parties' contract and are not equitable defenses of offset, setoff, or forfeiture. The Murrays' malpractice allegations shall be tried to the jury. Further, if there are any equitable defenses to be resolved, the facts underlying them will likely overlap substantially with the Murrays' legal defense based on malpractice allegations so they should all be tried together, with the legal defense resolved by the jury and the equitable ones by the Court.